Course Syllabus: Finance II (Corporate Finance)

Availability: This course is available on the executive master's in Economics

Instructor: Bernardo Ricca

Email: BernardoOGR@insper.edu.br

Teaching assistant: Lucas Negreiros

Email: lucasno1@al.insper.edu.br

Summary: This is a course in corporate finance and financial intermediation. The course covers both key aspects of the theory and empirics of corporate finance.

Objectives: The main goal of the course is to enable students to develop a solid knowledge of theoretical corporate finance, get acquainted with recent empirical research in the field, and make the correct use of the tools in their professional lives.

Course requirements: Students are required to submit solutions to the problem sets and present a research paper. Assignments may be completed in pairs.

Grading policy: Problem sets (10%), presentation of a research paper (10%), midterm exam (20%), final exam (60%).

Course content (tentative)

1. Introduction, accounting revision and the capital structure

Berk and DeMarzo (2011), Chapter 1

2. Valuation: free cash flows, discount rates, and the NPV rule

Berk and DeMarzo (2011), Chapters 6, 7, and 12

3. A frictionless benchmark, taxes, distress and static trade-off theory

Berk and DeMarzo (2011), Chapters 14, 15, 16, 18 and 19

Hortaçsu, A., Matvos, G., Syverson, C., and Venkataraman, S. (2013). Indirect costs of financial distress in durable goods industries: The case of auto manufacturers. *The Review of Financial Studies*, 26(5):1248–1290

4. Moral hazard, financing capacity, investment-cash flow sensitivities, and the choice between debt and equity

Tirole (2010), Chapter 3

Fazzari, S. M. and Petersen, B. C. (1988). Financing constraints and corporate investment. *Brookings Papers on Economic Activity*, 1988(1):141–195

Gilje, E. P. (2016). Do firms engage in risk-shifting? Empirical evidence. *The Review of Financial Studies*, 29(11):2925–2954

5. Asymmetric Information and capital structure

Tirole (2010), Chapter 6

Holmstrom, B. (2015). Understanding the role of debt in the financial system

Karlan, D. and Zinman, J. (2009). Observing unobservables: Identifying information asymmetries with a consumer credit field experiment. *Econometrica*, 77(6):1993–2008

5. Trade credit and working capital management

Berk and DeMarzo (2011), Chapters 26 and 27

Giannetti, M., Burkart, M., and Ellingsen, T. (2011). What you sell is what you lend? explaining trade credit contracts. *The Review of Financial Studies*, 24(4):1261–1298

6. Liquidity and risk management

Tirole (2010), Chapter 5

Main references:

- Berk, J. and DeMarzo, P. (2011). Corporate finance, global ed. *Essex: Person Education Limited*
- Tirole, J. (2010). *The theory of corporate finance*. Princeton University Press

Complementary references:

- Titman, S. and Grinblatt, M. (2002). Financial markets and corporate strategy. *NY: McGraw-Hill, 892p*
- Brealey, R. A., Myers, S. C., Allen, F., and Mohanty, P. (2018). *Principles of Corporate Finance*. McGraw-Hill Education
- Higgins, R. (2011). Analysis for financial management, 10e. *Burr Ridge: McGraw-Hill*